Case Study: The $100,000 Payment That Vanished

NOSTRO & Securities Reconciliation | Class Handout

Key Terms

NOSTRO	"Our money held by you." Bank's foreign-currency account at another bank (e.g. Indian bank's USD account at JPMorgan, New York).
VOSTRO	The same account seen from the holding bank's side: "your money held by us."
DEPO account	Securities custody account at a depository (DTC, Euroclear, NSDL).
Break	A mismatch between internal ledger and the external statement.
Aging	The longer a break stays open (30/60/90+ days), the higher the fraud, credit and write-off risk.
Four-eyes	Two authorized people must approve clearing a high-value break.

The Case: Sunrise Bank (India) vs JPMorgan (New York)

Day	Event
1	Books record a $100,000 outflow to a client's overseas supplier.
2	MT940 statement shows no debit. A break is created.
3	Analyst tags it "timing difference" and moves on.
30	Still unresolved: now an aged break.
45	Second analyst checks the SWIFT reference: payment was returned by the beneficiary bank and credited to an unknown internal account.
46	Escalated. Investigation finds an operator had been parking such breaks as "pending".

Findings

1. The break was real money, not a glitch.
2. No one reviewed the "pending" tag for 30+ days.
3. One person could park or clear breaks alone: a single point of failure.

What Fixed It

- Aging analysis with escalation at 30/60/90 days
- Four-eyes approval on high-value breaks
- Raw SWIFT check: MT940/950 (cash), MT535 (securities)
- Owner, reason and timestamp for every break

Real-World Examples

- **Bangladesh Bank, 2016:** about $81M stolen via fraudulent SWIFT instructions on its New York Fed account.
- **PNB, 2018:** SWIFT guarantees were not recorded in the core banking system, so ledger and messages never matched.

Key Lesson

Identify → **Investigate** → **Escalate** → **Document.** An unmatched entry is a question, not a closed item.

Discussion Questions

1. Why is a 1-day break less risky than a 60-day break?
2. What could go wrong if one person controls both posting and reconciliation?
3. How do NOSTRO, VOSTRO and DEPO accounts differ?
4. Which SWIFT messages would you check first, and why?

Discussion Questions: Answer Key

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1. Why is a 1-day break less risky than a 60-day break?

A 1-day break is usually a timing difference (value date or cut-off) and clears on its own. A 60-day break has outlived any timing explanation. It may be a returned payment, a duplicate or an unauthorized wire. The older it gets, the harder the money is to trace and recover, and the more likely it ends in a write-off or an audit finding.

2. What can go wrong if one person controls posting and reconciliation?

That person can post a wrong or fraudulent entry, then park or clear the resulting break so nobody else sees it. This is a failure of **segregation of duties**. The fix: separate the roles and apply the **four-eyes principle**, so a second person approves clearing any high-value break.

3. How do NOSTRO, VOSTRO and DEPO accounts differ?

- **NOSTRO:** "our money held by you", our foreign-currency account at another bank.
- **VOSTRO:** "your money held by us", the same account seen from the holding bank's side.
- **DEPO:** a securities custody account holding bonds or shares at a depository (DTC, Euroclear, NSDL), not cash.

Example: Sunrise Bank's USD account at JPMorgan is a NOSTRO for Sunrise and a VOSTRO for JPMorgan.

4. Which SWIFT messages would you check first, and why?

- **MT940 / MT950:** nostro cash statements showing what actually moved. Start here for a cash break.
- **MT535:** custody position statement. Use it for securities breaks.
- **MT103:** the original payment instruction. Use it to trace the transaction reference.

> **Remember:** Identify → Investigate → Escalate → Document. An unmatched entry is a question, not a closed item.